



Risk Management Policy

Arvesta Financial Services Private Limited

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(prev. Neo Investment and Finserv Services Private Limited)

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1. Introduction

Arvesta Financial Services Private Limited (“the Company” or “Arvesta”), a non-deposit taking Non-Banking Financial Company (NBFC) registered with the Reserve Bank of India (“RBI”), is engaged in business of lending.

The Board of Directors of Arvesta have laid down the Risk Management Policy (“**the Policy**”) to address unanticipated and unintended losses to the human resources & financial assets of the Company without unnecessarily limiting the activities that advance its mission and goals.

The policy has been framed taking into account RBI (NBFC - Governance) Directions vide circular reference *RBI/DOR/2025-26/344 DOR.GOV.REC.No.263/18-10-013/2025-26*, Master Direction on Information Technology Governance, Risk, Controls and Assurance Practices vide circular reference *RBI/2023-24/107 DoS.CO.CSITEG/SEC.7/31.01.015/ 2023-24*, and Master Directions on Fraud Risk Management in NBFCs vide circular reference *DOS. CO. FMG. SEC. No. 7/23.04.001/2024-25*.

Further, Section 134 (3) of the Companies Act, 2013, requires Companies to include in their Board’s Report, a Statement indicating development and implementation of a Risk Management Policy for the Company, including identification therein of elements of risk, if any, which, in the opinion of the Board, may threaten the existence of the Company.

1.1 Objective of the Policy

The Company recognizes Risk Management as one of the key drivers of growth and an essential element of strong corporate governance. Accordingly, the Board has framed the Risk Management Policy with the following objectives:

- To define and benchmark the Company’s standards for risk-taking across all activities.
- To continuously thrive for available risks in the Company which directly or indirectly affect the functioning of the Company.
- To ensure that risks are identified, assessed, and managed within the approved limits.
- To create risk awareness and provide guidance to employees for the effective conduct of their operations.
- To provide a structured framework for managing various types of risks, including outsourcing risk, strategic risk, market risk, credit risk, process risk, liquidity risk, regulatory risk, legal risk, key person risk, operational risk, information systems risk, and information technology-related risks.
- To ensure that the Risk Management Policy applies uniformly to all processes, products, and practices throughout the Company.
- To mandate a formal review of all new products by a group of senior executives prior to launch.



- To ensure that new products are introduced only after assessing regulatory risks, evaluating the risk–return profile, and completing proper documentation.
- To keep the Board of Directors and Top Management apprised of the applicable risks promptly and regularly.
- To ensure the protection of rights & values of shareholders by establishing a well-organized Risk Management Framework.
- Selecting, maintaining and enhancing the risk management tools used by the program to provide analyses that inform and support the investment actions of the Company.

1.2 Background and Purpose

It is pertinent to note that certain risks such as liquidity risks and interest rate risk are forming part of Liquidity Risk Management policy, outsourcing risk forms part of Outsourcing and IT Outsourcing policy and fraud risk is covered under Fraud Risk Management policy.

The Company has introduced effective risk management systems that address the issues relating to various risks. The effective management of risk is vital to the continued growth of the Company.

This Risk Management Policy aims, among other things, at protecting the reputation of the Company, enable the Company to make consistently profitable and prudent business decisions across all its offices and ensure an acceptable risk-adjusted return on capital, Risk-Appetite based risk tolerances (including defined risk limits as applicable) and to be within its overall risk capacity or any other equivalent measure.

The policy aims to ensure sustainable growth with profitability within the Company's defined risk appetite, while enabling the Company to acquire and maintain a pre-eminent position among NBFCs.

2. Governance Structure

2.1 Structure

The Risk Management function of the Company would be directly monitored and supervised by the Board of Directors aided by the Risk Management Committee (RMC) and will report to the Board at such intervals as may be necessary.

The Board shall hold ultimate accountability for the risk governance of the Company. It shall approve risk management policies, and ensure the overall effectiveness of the risk framework.

The RMC shall be responsible for evaluating the overall risk faced by the NBFC including liquidity risk. RMC will focus on the product lines, as also on Market, Credit, Process,



Compliance, and Reputation Risks focused along the product and process lines. Whenever new products/processes are offered/adopted by the Company, the Specific Risks associated with the products/services shall be evaluated by the management followed by review by the RMC and will be eventually approved by the Board.

The audit committee assists the board in overseeing the group's risk profile and is responsible for overseeing management's actions in the identification, management and reporting of material business risks.

2.2 Objective of the RMC

The primary objective of RMC is to mitigate various risks associated with the operations of the Company with a view to preventing unacceptable losses by putting in place effective means of identifying, measuring and monitoring market risk or credit exposures incurred by the Company and keeping such risk at or below predetermined levels; monitor, analyze, manage risk and containment of risk levels stemming from inadequate controls and or inadequate processes. RMC also has the primary responsibility to suggest risk containment measures for the products and processes that would be introduced by the Company in the future or any other foreseen or unforeseen risk, whenever required.

2.3 Review

RMC may meet at least once in every quarter of the year or if required, at the specific request of any of the members or for any business exigency, RMC may meet at more frequent intervals. The Risk Management Committee will review various risk parameters and the overall functioning of the company. It will discuss strategies to mitigate risks that have materialized during the previous quarter and those anticipated for the upcoming period. The suitability of risk mitigation measures to contain risks within acceptable tolerance levels will be assessed. This evaluation will consider the advantages and disadvantages, as well as all relevant factors affecting the proposed measures.

2.4 Mechanics

- i. Risk management shall be embedded at all operational and business process levels of the Company. All material risks associated with each business process shall be identified, quantified, and managed through defined risk limits. The Company shall monitor asset quality on an ongoing basis and ensure that gross non-performing assets (NPAs) are maintained within the approved threshold of the total disbursed amount, calculated on a blended basis. The Risk Management Committee shall ensure strict adherence to prescribed QMA and other prudential risk parameters.
- ii. The RMC shall ensure that the above exercise is strictly adhered to and in case of increase in such loans as a percentage of disbursed amount, reasons for such



increase are explained and remedial measures are immediately taken including review of underwriting parameters.

- iii. RMC shall evaluate and review the prudential risk limits at regular intervals and decide on the changes to be made, if any. The RMC shall also decide on the risk profile of new product not later than six months of its launch and their implication on the existing business processes. It shall also set out guidelines and limits which need to be adhered to once the new product is implemented. The RMC shall also have the power to reject or modify any prior decision if it is felt that the risk profile of any such activity and product has been or shall be detrimental to the overall risk policy/appetite of the Company.

2.5 Responsibilities of the RMC

Following are the responsibilities of RMC:

- Recommending the amendments, if any, to the Risk Management Policy to the Board for approval.
- enforcing the risk management policy throughout the Company.
- evaluating the risk implication of every activity and product at regular intervals of time.
- reviewing the guidelines and prudential risk limits at regular intervals.
- Approving new products and activities.
- establishing best practices and standards and ensuring adherence to the same.
- Developing effective Surveillance & Management Information System ('MIS') reports reviewing whether the Risk Management Policy is effectively and efficiently implemented.

2.6 Responsibilities of the Functional Heads

The responsibilities include providing the support services to RMC and shall also include but are not limited to the following:

- The Risk Head will have right to meet the Risk Management Committee without the presence of other executives at least once a quarter to apprise the Committee of unaddressed concerns, if any.
- Apprising the staff to conduct the activities in the manner as laid down in the policy.
- Documentation of serious financial, operational, legal, compliance, or regulatory risk events.
- Establishing robust MIS to monitor the risk levels.
- Endeavour to follow the Risk Management policy in letter and spirit.



- Reporting any deviations (along with reasons) from the established guidelines for seeking ratification.
- responsible for ensuring the effectiveness of fraud risk management, including implementing controls and conducting root cause analysis of fraud incidents.

3. Risk Management Guidelines

Broad guidelines are given for identification, measurement, mitigation techniques and addressing the different risks associated with the operations of the Company. The guidelines set out hereunder are not exhaustive. As and when new areas and issues come up which may result in any potential risk to the operations of the Company, the same shall be identified, measured and managed after elaborate discussion. Once decided, the risk profile shall form part of this policy for future adherence. Two most essential aspects of effective risk management are:

- Documentation of each process and related risk event; and
- Timelines for each process and related risk event.

The internal and external risk assessment shall be placed periodically, for review and guidance, before the Board as recommended by RMC.

The Company has constituted committees of executives ALCO, Outsourcing Committee, Customer Grievance Redressal Committee, Committee of Senior Executives for frauds, Information Security Committee, etc. to assist the RMC / Audit/ Board in identification and suggest measures for mitigation of the risks, if any, in the key areas of operations of the Company.

Identification, Measurement and Assessment of Risk:

- Management's responsibility, as delegated by the Board, is to operationalize the Risk Management Program and ensure that formal procedures are put in place to identify and define overall risk management framework, including policies, procedures, and controls, to identify, assess, and mitigate various risks with input from representatives across the businesses.
- Management shall have the authority to make day to day decisions / changes to underwriting and pricing parameters for loan administration as required. All such changes shall be presented to the ALCO and Risk Management Committee for periodic review and ratification.
- Risk measurement shall be carried out using both quantitative and qualitative methodologies, based on likelihood and impact criteria developed by Management and reviewed by the Board.
- Management shall identify inherent and residual risks and classify them based on their likelihood of occurrence and potential impact on the business.



- Identified risks shall be categorized into high, medium, and low risk levels to facilitate appropriate monitoring and mitigation.

3.1 Market Risks

Market Risk is defined as the risk arising from movements in interest rates and exchange rates, on the overall business of the Company.

Adverse and unanticipated market and economic developments may significantly change the risk profile and market value of Company's investments. Risks relating to inherent characteristics of our industry including competitive structure, technological landscape, extent of linkage to economic environment and regulatory structure.

Mitigation: Management regularly reviews its business model including the areas it wants to operate. The management carries out regular competitive analysis of its peers in the industry so as to remain in competition and change its markets if required.

3.2 Financial and Reporting Risks

- Interest rate risk – means the risk of incurring loss arising out of changes in interest rates.
- Price Risk – means the risk of loss arising out of unfavorable changes in price due to market forces beyond the entity's control.
- Liquidity risk – means the risk of not being able to meet a financial obligation when it becomes due.
- Financial reporting risk - Risk of loss resulting from inadequate or inaccurate disclosure of financial information (such as financial performance & financial position to the various stakeholders of the Company and other regulatory entities.

Mitigation:

- ALCO shall meet regularly to identify any short term / long term liquidity gaps and thereby take immediate corrective actions to bridge the same.
- Lender Exposure Updates: Lender exposure shall be regularly monitored to avoid concentration risk and maintain diversification of funding sources.
- The company has instituted adequate checks to ensure accuracy & timeliness in financial reporting & MIS. Internal Audits & Statutory Audits are instituted to ensure data integrity.

3.3 Credit Risks

Credit Risk is defined as the risk of failure of the counterparty in keeping up its commitments. It can be further described as a risk of loss from a borrower or counterparty failing to meet contractual financial obligations. In the first resort, the risk is that of the



lender and includes lost principal and interest, disruption to cash flows, and increased collection costs. Credit Risks can occur primarily on two fronts, i.e., Counterparty and Security.

Counterparty risk arises from any transaction that creates an actual or potential obligation to pay the Company by the borrowers. Credit risks could be direct risks based on the repayment capacity and willingness of the borrowers to repay the loans.

Security risk arises from any event that may lead to a decline in the value of the security held by the Company, thereby impacting the recovery of dues and liquidity of the security. This may occur due to imperfections in the security or reduction in its resale value over time caused by usage, obsolescence or market conditions.

Mitigation: To ensure the overall health of the credit portfolio through an evaluation of the credit process, creditworthiness of each customer, new or existing, assessment of the risks involved and ensuring a measured approach to address the risks will be undertaken.

Credit risk management includes periodic credit reviews, continuous review of the existing controls and monitoring of the systems for identification and mitigation of the various risk factors.

A strong credit risk management process will help in containing the portfolio quality of the Company. Key elements of credit risk management include a structured and standardized credit approval process supported by a strong system, effective training programs, legal and technical due diligence, monitoring and robust credit risk management strategy at a senior management level.

Additionally, the Company shall fix internal limits of exposure to various sectors and sub-sectors under consumer credit and review of adherence to the same will be undertaken by the Risk Management Committee from time to time.

Further, all top-up loans extended by the Company against movable assets which are inherently depreciating in nature, such as vehicles, shall be treated as unsecured loans for credit appraisal, prudential limits and exposure purposes.

3.4 Operational Risks

Operational risk refers to the risk of loss resulting from inadequate or failed internal processes, people, systems, or external events.

Factors impacting Operational Risk:

- Inadequate Processes: Weak internal controls, inefficient workflows, and lack of proper documentation can create opportunities for errors and fraud.
- Human Errors: Inadequate training, lack of qualified personnel, or negligence can lead to mistakes in loan processing, customer service, or other operations.
- System Failures: Technology breakdowns, data breaches, or cybersecurity vulnerabilities can disrupt operations and lead to financial losses.

Operational Risk is further divided into Process Risk, Information Technology related risk and Human Risk.



3.4.1 Process Risk:

Process risk arises from inadequate internal controls including IT systems or business disruptions. It is often associated with human error or inadequate procedures and controls as also external factors beyond the control of the Company.

Mitigation: The risk mitigation plan is created based on the severity of the risk.

3.4.2 Information Technology related Risks:

IT risks encompass threats arising from the use of technology that may impact the Company's operations, data integrity, customer trust, or regulatory compliance. These include cybersecurity threats (e.g., phishing, ransomware, and other cyberattacks), system vulnerabilities, operational disruptions, and risks arising from third-party service providers. Such risks can affect the confidentiality, integrity, and availability of financial data, as well as the efficiency of IT-dependent business processes.

Mitigation: To address IT vulnerabilities, the Company enforces a stringent mitigation strategy under the guidance of the IT & Strategy Committee. This strategy is supported by comprehensive IT Policies including IT, Information Security and Cyber-Security, BCP policies. Through regular IT Risk assessments, vendor risk assessments, audits, BCP-DR testing and drills, the Company proactively identifies and mitigates potential IT risks. Any exceptions are promptly reported to the IT Strategy Committee and the Board every quarter.

3.4.3 Human Risks:

The Company is vulnerable to human risk which could be mitigated through skilled executives, training and reskilling of the personnel, lesser human intervention through tighter processes, segregation of duties, maker-checker controls, centralized control, strong Surveillance & Management Information systems (MIS), and internal checks.

3.5 Reputation Risks

Reputation risk is the loss caused to the Company due to its image or standing being affected by certain incidents such as:

- Non-compliance to the Fair Practices Code
- Improper handling of customer grievances
- Use of coercive or unethical recovery practices
- Breach of the Company's Code of Conduct

Mitigation: Considering the business model, the following aspects shall be put in place to reduce vulnerability related to reputational risk:

- Compliance with Fair Practices Code: All employees shall be trained and instructed to follow fair practices as per RBI guidelines in all their dealings with the customers.



- **Grievance Redressal Mechanism (GRM):** The Company shall have a GRM in place and the same shall be communicated to all customers at the time of sanction of loan. The GRM shall also be available on the website of the Company.
- **Delinquency Management:** The Company shall not adopt any coercive recovery practices and all recoveries shall be made in accordance with the Recovery / Collections Policy and Fair Practice Code of the Company.
- **Legal Obligations:** All employees, vendors, and associates shall be required to sign the Company's Code of Ethics and relevant legal agreements, which include clauses ensuring strict compliance with the Company's prescribed best practices and applicable privacy laws, thereby safeguarding the Company against reputational and legal risks.

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3.6 Regulatory and Legal Risks

Regulatory Risk is associated with non-adherence to the rules and regulations and applicable laws and changes in regulations or regulatory environment. The risks are particularly associated with adherence to regulatory prescriptions and reporting requirements, inadequate risk management practices and insufficient oversight of outsourced activities, failure of any other assurance function leading to regulatory action, etc. The Company operates in a highly regulated environment to ensure the stability of the financial system and protect the interests of customers and stakeholders.

Regulatory risk can arise from various sources:

- Regulatory changes are not tracked for the purpose of modifications in policies, products, processes and practices
- Non-compliance with lending practices as well as other applicable legal and regulatory obligations.

Failure to manage regulatory risk may result in regulatory actions, financial penalties, and damage to the Company's reputation, which can ultimately impact its business operations.

Legal risk involves legal issues affecting operations, compliance, and agreements. Legal risk in agreements entails mapping to ensure inclusion of required outsourcing clauses and compliance with relevant sections of the RBI guidelines and Companies Act, aligning with the company's structure.

Mitigation:

The Board has established a dedicated compliance vertical, comprising members from diverse departments, aimed at ensuring comprehensive adherence to compliance standards. In addition, the Company has also implemented adequate measures to drive compliances effectively on an ongoing basis. Further, compliance function is subjected to fair assessment by internal and external audits and reviewed periodically for taking preventive and corrective measures, as warranted.

4. Capital Adequacy Framework

The Company shall maintain adequate capital to absorb potential losses and support sustainable business growth, in accordance with the Reserve Bank of India (RBI) regulatory requirements and the Company's approved risk appetite. The Company shall conduct a



comprehensive internal assessment of capital requirements commensurate with the nature, scale, and complexity of its operations and the inherent risks in its business model.

The Internal Capital Adequacy Assessment Process (ICAAP) shall be conducted in alignment with the principles prescribed under Pillar 2 of the Basel III framework, adapted for NBFCs, and shall cover credit, market, operational, and residual risks using internally developed methodologies approved by the Board.

the Company shall evaluate all material risks, including credit, market, operational, liquidity, interest rate, reputational, and climate-related risks. The Company shall also assess emerging risks such as ESG and sustainability-linked exposures that may impact its capital adequacy or solvency position.

Periodic stress testing and scenario analysis shall be conducted to evaluate the Company's capital adequacy under adverse conditions. The results of these assessments shall be reviewed by the Senior Management, the Risk Management Committee (RMC), and the Board of Directors to ensure that capital levels remain aligned with regulatory norms, business objectives, and the Company's risk profile.

4.1 Capital Adequacy Framework

The Company shall ensure that capital adequacy is maintained at all times in line with applicable RBI guidelines and commensurate with its business strategy and risk profile. The capital adequacy framework shall evaluate all material risk categories — including credit, market, operational, liquidity, concentration, and climate-related risks — that may influence the Company's capital position or financial stability.

The ICAAP shall be led by the Head of Risk, in coordination with the Finance and Risk teams, and shall be reviewed by the Senior Management and the RMC. The assessment shall be carried out annually and updated periodically to reflect changes in business conditions, market dynamics, and regulatory expectations.

Key components of the capital adequacy process shall include:

- Assessment of current and projected capital requirements under normal and stressed scenarios.
- Integration of the Company's risk appetite and business planning processes with capital planning.
- Application of stress testing, scenario analysis, and risk-adjusted performance metrics.
- Maintenance of a prudent capital buffer above minimum regulatory requirements to absorb potential losses.

The findings from the ICAAP shall be submitted to the Board of Directors and shall form the basis for strategic decisions relating to capital allocation, dividend distribution, and growth planning.



4.2 Stress Testing Framework

As part of the capital adequacy process, the Company shall conduct stress testing in compliance with RBI guidelines to assess the potential impact of adverse macroeconomic or market events on its capital adequacy and overall risk profile.

The Company shall formulate and maintain a Stress Testing framework covering the following key risk categories:

- Credit Risk
- Market Risk
- Financial and Reporting Risk
- Interest Rate Risk
- Operational Risk

Stress testing shall be conducted under three scenarios: Baseline, Moderate, and Severe to evaluate the Company's resilience and guide strategic decision-making. The results shall be presented to the RMC and the Board of Directors for review, and necessary corrective actions shall be implemented to strengthen the capital base or recalibrate the Company's risk appetite, where required.

5. Policy Review

The policy will be reviewed and approved at yearly intervals or as and when considered necessary by the Board. All extant & future master circular/directions/guidance notes issued by RBI from time to time would be the directing force and will supersede the contents of this policy.